

Lecture 1

Introduction to Economic Psychology

Dr Cillian McHugh

PS4168: Economic Psychology

Economic Psychology is Everywhere

Economic Psychology is Everywhere

<https://www.youtube.com/embed/KbbZc2pab9k>

Economic Psychology is Everywhere

- In pairs/groups identify examples of Economic Psychology

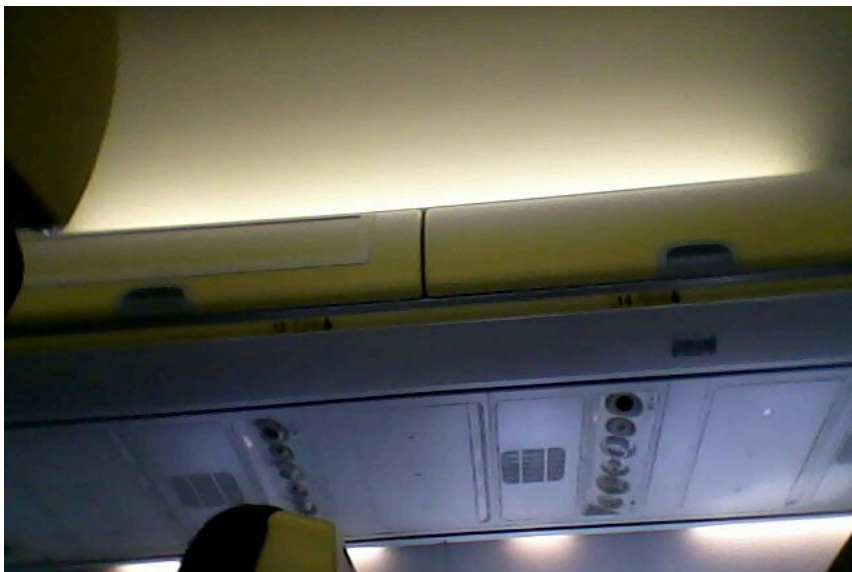
Before we begin

- Can you think of anything that influences people's decisions?

Before we begin



Before we begin



Overview

- General Information and Housekeeping
- Topics to be covered
- Introduction to Economic Psychology

General Information and Housekeeping

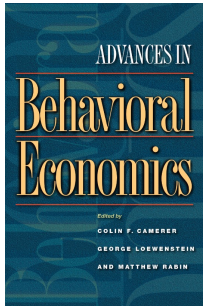


Module Leader	Dr Cillian McHugh
Email	cillian.mchugh@ul.ie
Office	KBG-22
Student Hours	Wednesdays, 2-3
Lecture location	ERB007
Day and Time	Wednesdays, 12-2

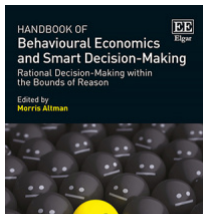
Lectures

- 2 hour slot (Wednesdays)
- Interactive (discussion + activities)
- Will be recorded
- Do not come in if you are sick!!!

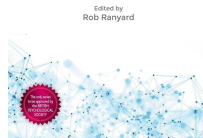
Core Texts



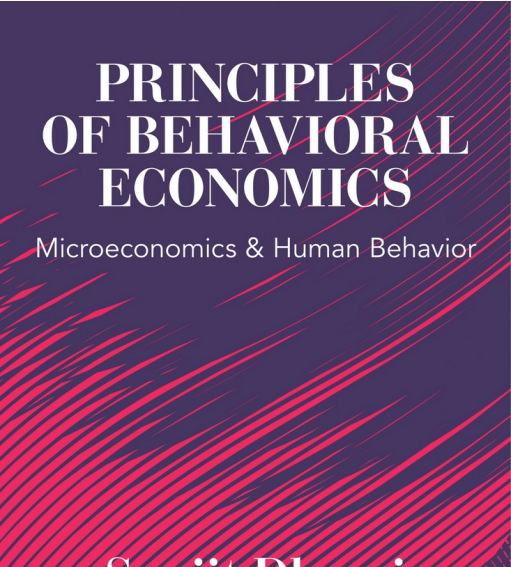
Camerer, Loewenstein, & Rabin (2003)



Cartwright (2014)
Economic Psychology



Other Texts



PRINCIPLES OF BEHAVIORAL ECONOMICS

Microeconomics & Human Behavior

Assessment

Type of Assessment	% of Final Grade	Deadline
Task 1	30%	Tuesday 20th October at 4pm
Recorded Presentation	70%	Monday 30th November at 4pm

Topics to be covered

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Theories of Decision
Making
Heuristics and Biases
Game Theory
Nudges and Other
Contextual Influences
Future Decisions and
Affective Forecasting

Emotional Influences
Loss Aversion/Risk
Aversion and Endowment
Effects
Mental Accounting
Fairness and Ethics
Gambling
Morality

Activity: [\(link here\)](#)

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Introduction to Economic Psychology

Defining Economic Psychology

- “The science of economic mental life and behaviour” (Ranyard, 2018, p. 5)
- The study of “how individuals affect the economy and how the economy affects individuals” (Lea, Tarpy, & Webley, 1987, p. 2; see Ranyard, 2018, p. 5)
- Branch of *Applied Psychology* (Ranyard, 2018)
- **Interdisciplinary**
 - Psychology
 - Behavioural Economics

Homo Economicus and the Standard Economic Model

- *Homo Economicus*:

- a rational individual
- makes rational decisions
- that maximize utility
- is self-interested
- capable of learning from experience
- stable, consistent preferences (Ranyard, 2018, p. 6; Cartwright, 2014; see also Lea et al., 1987; Wärneryd, 2008)

Behavioural Economics & Economic Psychology

- Adam Smith
 - *An Inquiry into the Causes of the Wealth of Nations* (1776)
 - *The Theory of Moral Sentiments* (1759)
 - invisible hand of the market
- Vilfredo Pareto (1897)
 - “Pure political economy has therefore a great interest in relying as little as possible on the domain of psychology”

(Cartwright, 2014)

Behavioural Economics Reborn

- Herbert Simon
 - “Bounded Rationality” (1955)
 - Questioned the logic of the Standard Economic Model
- Daniel Kahneman and Amos Tversky
 - Evidence against the Standard Economic Model

Evidence Against Standard Economic Model

- A bat and ball cost €1.10 in total. The bat costs €1.00 more than the ball. How much does the ball cost? _____ cents

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 - Correct answer: 5 cent

Behavioural Economics Reborn (contd)

- Vernon Smith
 - Markets Work
- Reinhard Selten
 - multiple equilibria

Early Emergence of Economic Psychology

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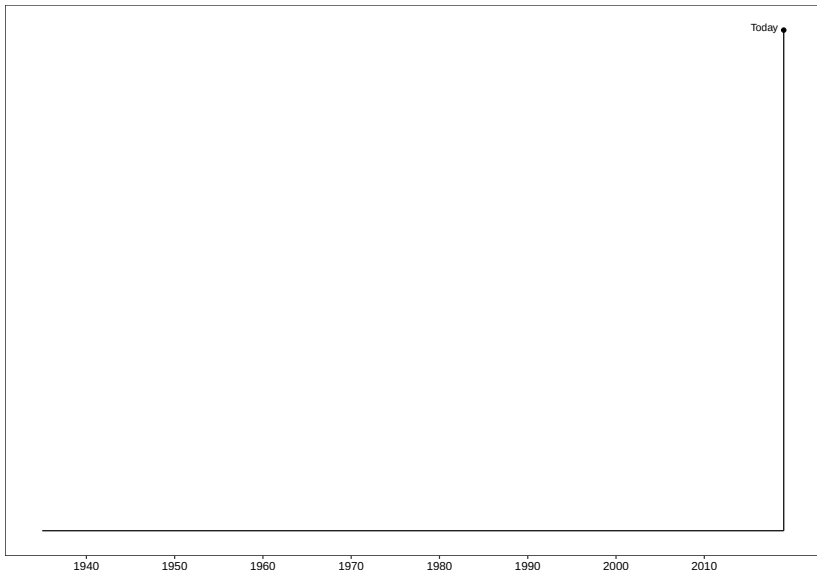
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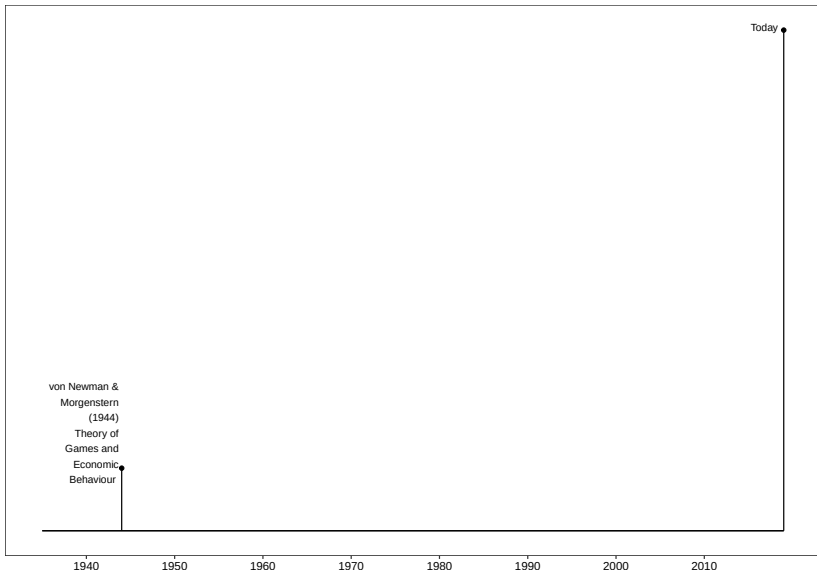
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 - Preference for a larger gain over a smaller gain

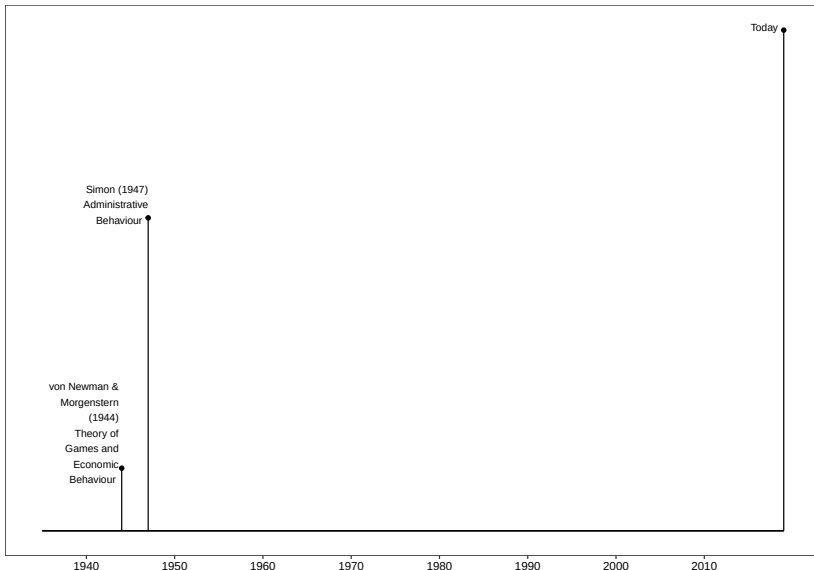
Emergence of Economic Psychology



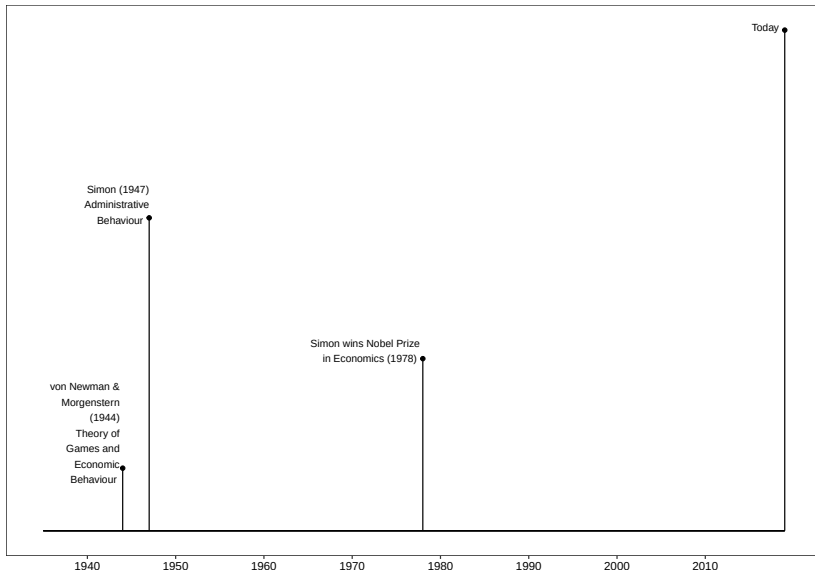
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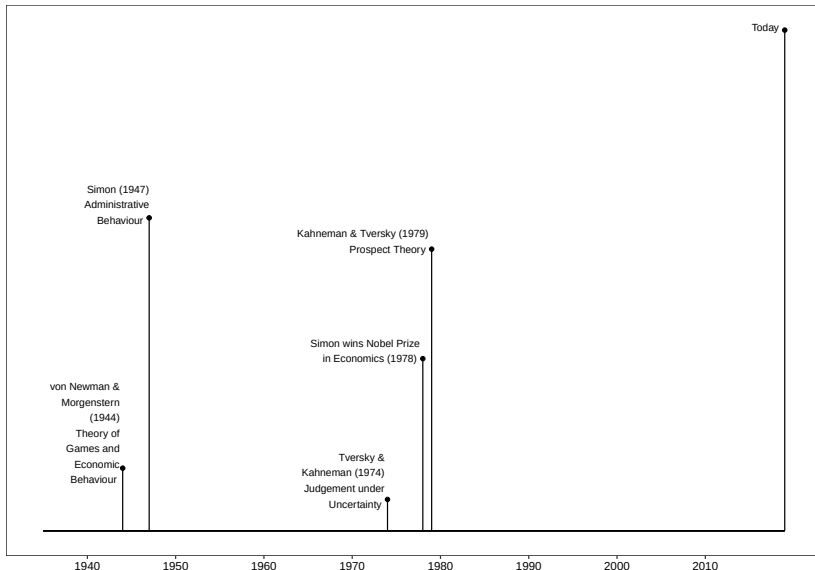
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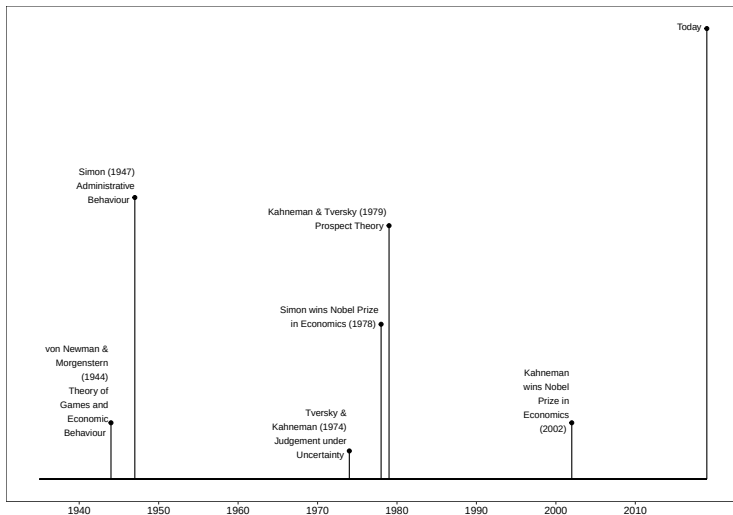
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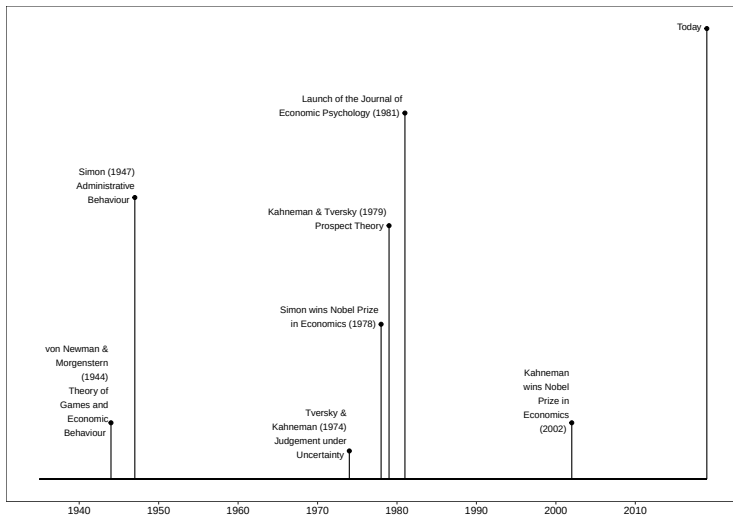


Emergence of Economic Psychology



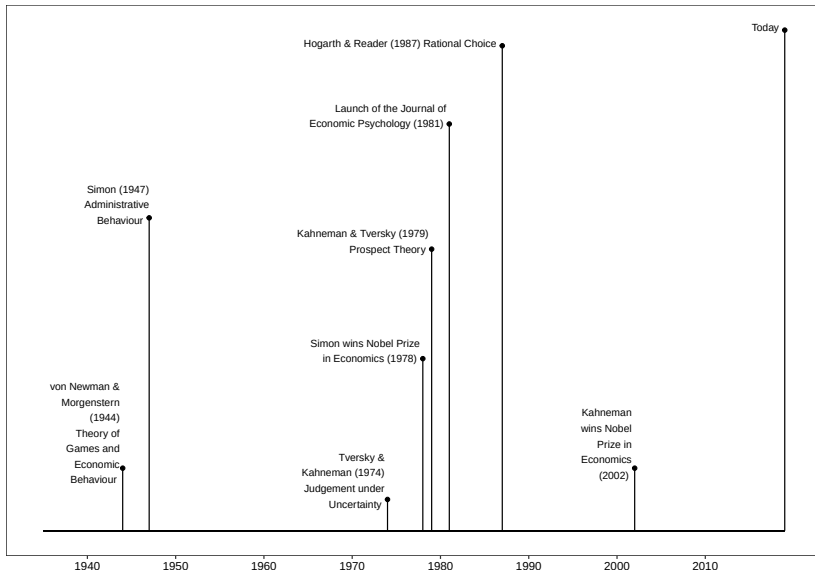
■ demonstrating difference from *homo economicus*

Emergence of Economic Psychology



■ Launch of Journal of Economic Psychology

Emergence of Economic Psychology



Approaches to Studying Decision Making

- Normative Theories *versus* Behavioural Theories
- Normative (prescriptive) approaches
 - Influenced by economic and mathematical models of how decisions ***should*** be made
 - Assume people are rational
 - should make the optimal choice (the choice that best reflects the person's preferences)
 - decisions should be consistent across settings
- Behavioural (descriptive) approaches
 - Describe how decisions are made

Defining Rationality

- Epistemic rationality
 - Rational belief or inference
 - Has a conclusion that is true
- Rationality of action
 - Actions (as opposed to beliefs/inferences)
 - Helps to achieve a goal
- **Instrumental rationality**
 - “our mental states or processes are rational when they help us to achieve our goals” (Over, 2004, p. 3)

Discuss

- Differences between Behavioural Economics and Economic Psychology
- What is Rationality

References

- Altman, M. (2017). *Handbook of behavioral economics and smart decision-making*. Cheltenham: Edward Elgar.
- Camerer, C., Loewenstein, G., & Rabin, M. (Eds.). (2003). *Advances in behavioral economics*. Princeton, N.J. ; Princeton University Press.
- Cartwright, E. (2014). *Behavioral economics*. New York: Routledge.
- Dhami, S. S. (2025). *Principles of behavioral economics: Microeconomics and human behavior*. Cambridge, United Kingdom New York, NY Port Melbourne, Australia New Delhi, India Singapore: Cambridge University Press.
- Lea, S. E. G., Tarpy, R. M., & Webley, P. M. (1987). *The Individual in the Economy: A Textbook of Economic Psychology*. Cambridge Cambridgebridge : New York